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Strategic Trading Analysis

Based on the detailed PDF report provided, here is my analysis of CIPLA.NS from the perspective of a risk-averse Positional Equity Trader.

Step 1: Audit the Data

- **Data Present:**
  - **Price Action:** Daily, Weekly, and 15-minute charts with candlestick classification.
  - **Trend Indicators:** SMA/EMA (20, 50, 200), Supertrend, Bollinger Bands, MACD.
  - **Momentum/Oscillators:** RSI (Relative Strength Index).
  - **Volume:** Volume moving averages, accumulation/distribution analysis.
  - **Relative Strength:** Comparison against ^CNXPHARMA (Sector).
  - **Fundamentals:** Long-term and short-term growth metrics, analyst estimates.
- **Data Missing:**
  - While "Institutional Holdings" data is not explicitly detailed in a table, the volume analysis provides proxies for institutional activity.
- **Confidence Level: High**. The report is comprehensive, covering technical structure, quantitative signals, and fundamental health.
  - *Note:* The report date is "2026-02-21," indicating this is either a future projection simulation or backtesting data. I will treat the data as "current" for the purpose of this analysis.

Step 2: Analyze the Setup

- **Price Structure & Trend:** The stock is in a **Strong Downtrend** on the Daily and Weekly timeframes. It is trading below the 20, 50, and 200 EMAs. Crucially, a "Death Cross" (50 EMA crossing below 200 EMA) is visible on the daily chart (Page 7), which is a major bearish signal for intermediate-term traders.
- **Resistance:** Immediate resistance is the 20 EMA (~1350) and the Supertrend Sell level (~1403). The "Cloud" of resistance between 1400 and 1470 is significant.
- **Momentum:**
  - **MACD:** Remains bearish below the zero line, though momentum is "Weakening" (histogram turning up), suggesting the selling pressure is subsiding.
  - **RSI:** At 42.92, it is in neutral-bearish territory. It has bounced from oversold but lacks a strong bullish divergence confirmation.
- **Relative Strength:** The stock has an RS Score of 44.8/100 and is underperforming its sector (^CNXPHARMA). This indicates that even if the Pharma sector rallies, Cipla is likely to lag.
- **Fundamentals:** Short-term fundamentals are concerning. Quarterly Net Income and EPS are down ~48% (Page 3). This fundamental deterioration validates the technical downtrend.
- **Positives:** The report flags a "Turnaround Detected" (Page 4) and "Selling Exhaustion" (Page 18). Volatility squeeze metrics suggest a potential breakout, but doing so below the 200 EMA is high-risk.

Conclusion: The setup is currently a **falling knife**. While there are signs of selling exhaustion, there is no structural confirmation of a trend reversal. Entering now is betting on a V-shaped recovery against strong fundamental headwinds.

Step 3: Formulate the Recommendation

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Should I enter this stock now?NO.

Reasoning: The stock is structurally broken. It is trading below all key moving averages with deteriorating quarterly earnings. The "Turnaround" signals detected are likely early mean-reversion signals rather than trend-following entries. As a positional trader, you want to buy strength, not bargain hunt in a downtrend.

Conditional Plan (Watchlist Strategy): You should only consider entering if the stock repairs its technical damage and reclaims the intermediate trend.

- **Condition to Buy:** The stock must close continuously above the **Supertrend Resistance** and the **50-Day EMA**.
- **Entry Price: INR 1,410** (Buy Stop Order). This confirms the price has broken out of the immediate downtrend and reclaimed the 50 EMA (currently ~1400).
- **Stop Loss: INR 1,330** (Daily Close). This places risk below the 20 EMA and recent consolidation support.
- **Take Profit: INR 1,500 - INR 1,550**.
  - *Rationale:* The 200 EMA is currently at ~1470 but will slope down. The target zone represents a retest of the major breakdown level and the 200 EMA resistance.
- **Risk/Reward:** ~1:1.5 to 1:2. (Note: If the entry triggers, the setup improves, but currently, the upside is capped by heavy overhead supply).

Candlestick Classification Analysis

Based on the **Candlestick Classification System** provided in the report (Pages 20 and 21), here is the detailed analysis of the price action for **CIPLA.NS**.

1. Current Candlestick Status

- **Latest Classification: No Control (0)**
- **Recent Trend Score (10-day avg): 0.20** (Neutral/Weak **Bullish**)
- **Dominant Recent Behavior:** The chart shows a transition from **Seller Strong Control** (Red) into a cluster of **No Control** (Grey) and weak **Buyer Control** (Light Green) candles.

2. Chart & Price Action Interpretation

Looking at the classification chart on Page 21, we can deconstruct the recent price behavior using your provided logic:

A. The Drop (Context): There was a significant capitulation event recently (visible as the large dark red candle).* **Logic Applied:** This candle likely had a **Body > 1.5 ATR** (Step 1) and closed near the low (Step 2). Crucially, the volume bar below it is massive (Step 4), confirming institutional selling. This established a "Seller Strong Control (-2)" environment.

B. The Current Consolidation: Following that drop, the candles have turned Grey (No Control) and small Green (Buyer Control).* **Logic Applied:** These candles represent **Step 3 (Wick Analysis)** and **Step 1 (Weak Body)**. The bodies are small (<0.5 ATR), and we see wicks on both sides. This indicates that while sellers have stopped pushing aggressively, buyers lack the conviction to reverse the trend.* **Volume:** The volume

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during this stabilization phase is notably lower than the selling volume. According to **Step 4**, low volume acts as a dampener (0.6x multiplier), preventing these green candles from achieving a "Buyer Strong Control" rating.

C. The Trend Score (0.20): The 10-day average score is 0.20. On a scale of -2 to +2, this is effectively **Neutral**. It tells us the selling pressure has exhausted itself temporarily, but buying pressure is virtually non-existent.

3. Prediction & Future Direction

Verdict: Bearish Bias with Immediate Sideways Consolidation.

The "No Control" classification is a sign of **indecision**, not reversal.

Why Bearish Bias? The last major "Conviction" move was **Seller Strong Control (-2)** backed by high volume. In price action theory, until this moves is countered by an equal and opposite force (Buyer Strong Control), the sellers are still technically in charge of the trend. The current "No Control" phase is likely a "bear flag" or a pause where the market absorbs the recent drop.

What to Watch For (The Trigger):

- **Bullish Case:** You need to wait for a **Buyer Strong Control (+2)** candle. This would require a candle with a body > 1.5 ATR closing near the high, **validated by high volume** (Step 4). Without the volume spike, any price rise is suspect.
- **Bearish Continuation:** If the price breaks below the low of the current "No Control" cluster, the "Seller Control" trend will likely resume.

Forecast: Expect **choppy, sideways movement** in the short term (Range bound). The market is waiting for a catalyst. Given the strong selling history immediately preceding this pause, the probability favors a **continuation to the downside** unless a high-volume reversal candle appears immediately.

News & Analyst Targets

Here is the latest investment research and analysis for **Cipla Ltd (CIPLA)** for the week ending **February 21, 2026**.

1) Latest News for CIPLA This Week

- **Major Institutional Buy (LIC Increases Stake):** The most significant development this week is the disclosure that the **Life Insurance Corporation of India (LIC)** has increased its stake in Cipla to **9.09%** from 7.05%.
  - LIC acquired approximately **2.03% additional equity** via open market purchases between late November 2025 and mid-February 2026.
  - **Impact:** This is widely seen as a strong vote of confidence from India's largest domestic institutional investor, signaling they believe the stock is undervalued after its recent correction.

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- **Stock Performance:** The stock has been trading near its **52-week low** (around INR 1,280-INR 1,340 levels) following weak Q3 earnings. The LIC news provided some support to the stock price towards the end of the week.
- **Regulatory Headwinds (Context):** While reported last week (Feb 10), the market is still digesting the news that Cipla's US subsidiary, **InvaGen Pharmaceuticals**, received **2 observations (Form 483)** from the USFDA following a pre-approval inspection. This continues to weigh on sentiment regarding its US pipeline.
- **Leadership Transition:** The company is currently in a transition phase with the announcement that global CEO Umang Vohra will be stepping down in March 2026, with Achin Gupta set to take over.

2) Upgrade or Downgrade from Brokerages

There were no *brand new* rating changes released specifically between **Feb 15-21, 2026**, but the stock is currently reeling from a wave of downgrades issued in late January and early February following its Q3 results.

- **Downgrades Dominating:** Most global brokerages have recently cut their targets due to "weak execution" and headwinds in the US market.
- **Key Downgrade Rationales:**
  - **Lanreotide Supply Issues:** A temporary pause in manufacturing at a partner facility (Pharmathen) due to regulatory remediation.
  - **gRevlimid Cliff:** Declining contribution from its key cancer drug, Revlimid, in the US.
  - **Margin Compression:** Lower EBITDA margin guidance for FY26/27.

3) Other News Impacting CIPLA

- **Sector Sentiment:** The Nifty Pharma index has remained volatile. While domestic pharma sales are growing, the US generics market (a huge revenue source for Cipla) is facing intense pricing pressure and regulatory scrutiny.
- **Lanreotide Supply Chain:** The temporary halt in the supply of **Lanreotide** (a key complex generic asset) is a major indirect impact. This product was generating ~$150M annually. The supply is expected to resume only in H1 FY27, creating a near-term revenue hole.
- **Technical Weakness:** Technical analysts note that the stock has broken key support levels and is trading below its 200-day moving average, though the LIC buying may help form a temporary bottom.

4) Latest Analyst Targets & Ratings

Below is the summary of the most recent price targets issued by major brokerages following the Q3 FY26 earnings and recent regulatory updates.

Brokerage Firm	Rating	Target Price (INR)	Outlook / Comments
Jefferies	Underperform	1,170	Cites sharp margin contraction and US sales decline.
HSBC	Hold	1,285	Downgraded due to cut in FY26 EBITDA guidance.
Morgan Stanley	Underweight	1,292	Flags risk to FY27 earnings from Lanreotide disruption.
Goldman Sachs	Sell	1,275	Maintains negative stance on valuation concerns.
Nuvama	Reduce	1,360	Lowered target citing slow US pipeline ramp-up.

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Brokerage Firm	Rating	Target Price (INR)	Outlook / Comments
Elara Capital	Accumulate	1,438	Reduced target but sees long-term value.
Macquarie	Outperform	1,490	Believes negatives are priced in; sees value at current levels.
Nomura	Buy	1,510	Remains bullish; sees Lanreotide issue as temporary.
Consensus	Neutral	~1,456	Average target implies ~8-9% upside from current levels.

Disclaimer: *This report is for informational purposes only and does not constitute financial advice. Stock market investments are subject to market risks.*

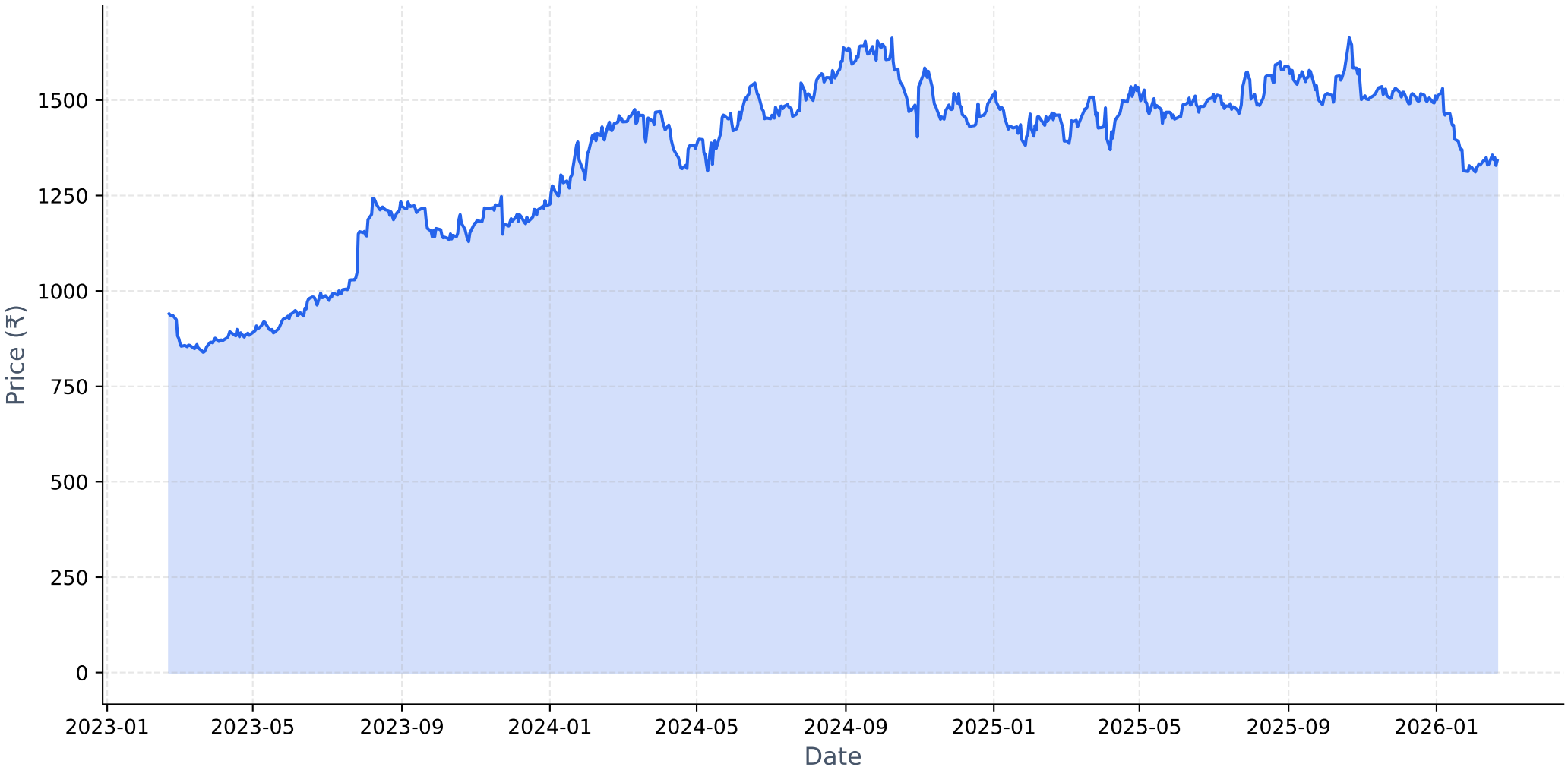
Stock Detailed Analysis Report

CIPLA.NS

Current Price: ₹1341.10

Generated: 2026-02-21 09:24

CIPLA.NS - 3 Year Daily Price Chart



Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	No	6.68%	7.88%
Net Income	Yes	No	27.93%	27.96%
ROE	Yes	No	9.52%	11.86%
EPS	Yes	No	27.89%	27.91%

Short-term Fundamental Analysis (6 Quarters)

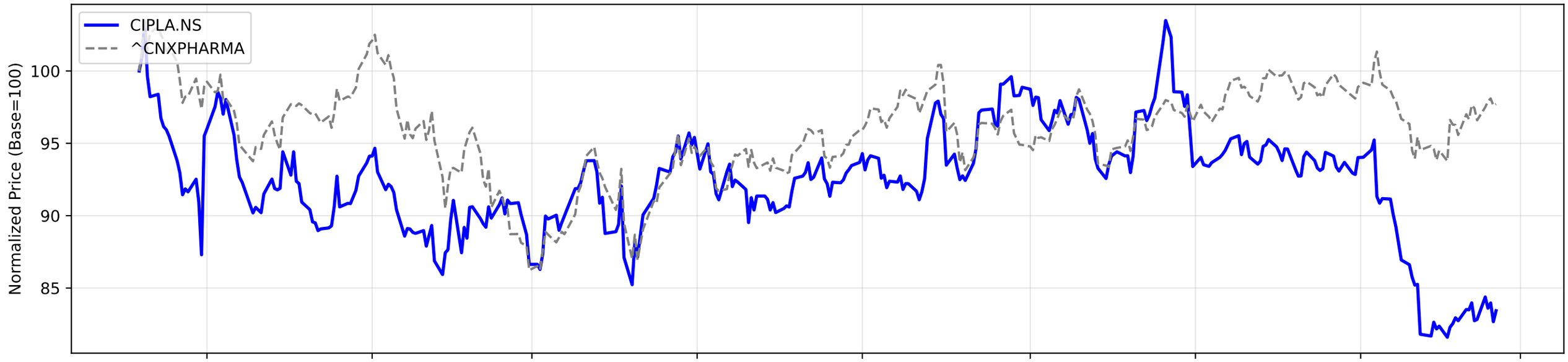
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	1.84%	0.06%
Net Income	No	-47.92%	-10.84%
ROE	No	-14.71%	-14.71%
EPS	No	-47.92%	-5.57%

CIPLA.NS - Relative Strength Analysis

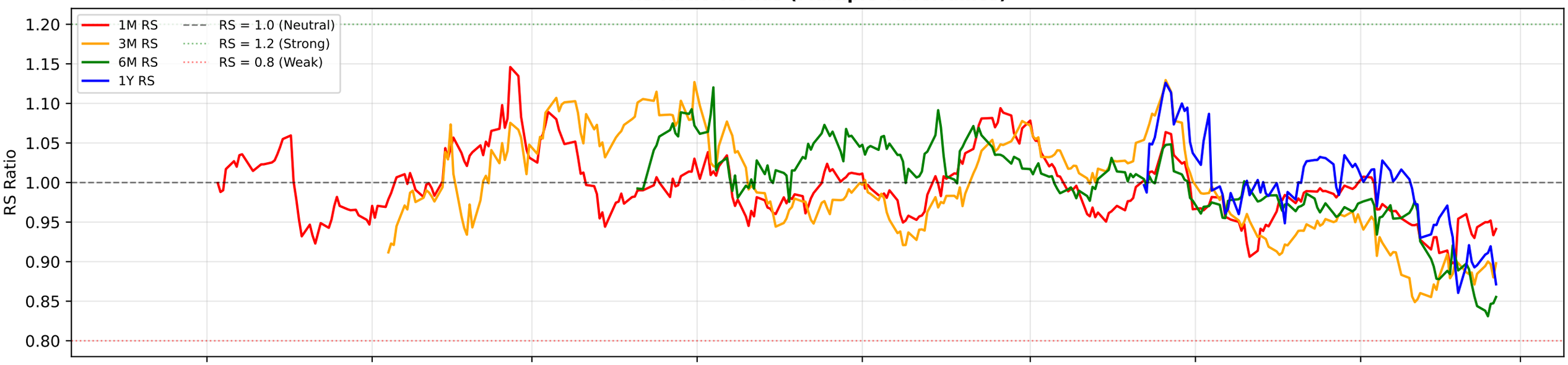
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXPHARMA
Sector:	Pharma
Classification:	**Neutral**
RS Score:	44.8/100
:	
═══ RS RATIOS ═══:	
1M RS:	**0.941 [Neutral]**
3M RS:	**0.898 [Neutral]**
6M RS:	**0.855 [Neutral]**
1Y RS:	**0.871 [Neutral]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**!! DETECTED !!**
:	
SIGNAL CRITERIA::	
✓ **Emerging RS:**	1M (0.941) > 3M (0.898)
✓ **Medium-term Lagging:**	6M=0.855, 1Y=0.871 (≤1.0)
✓ **Performance Improving:**	3M (-12.3%) > 6M (-13.4%)

Relative Strength Analysis: CIPLA.NS vs ^CNXPHARMA
Classification: Neutral

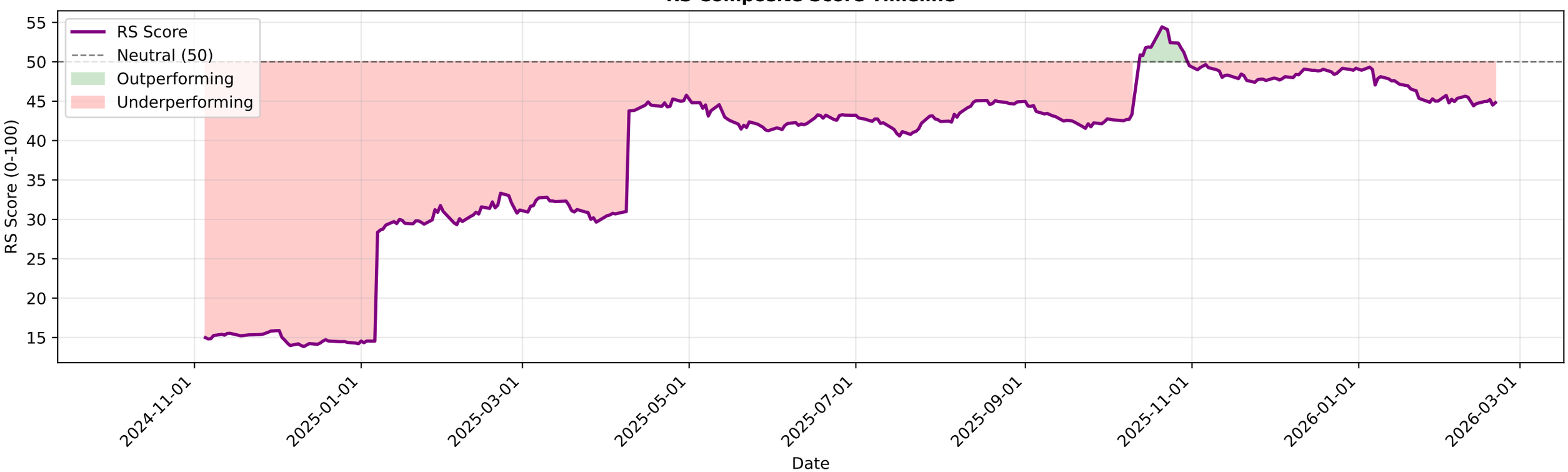
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

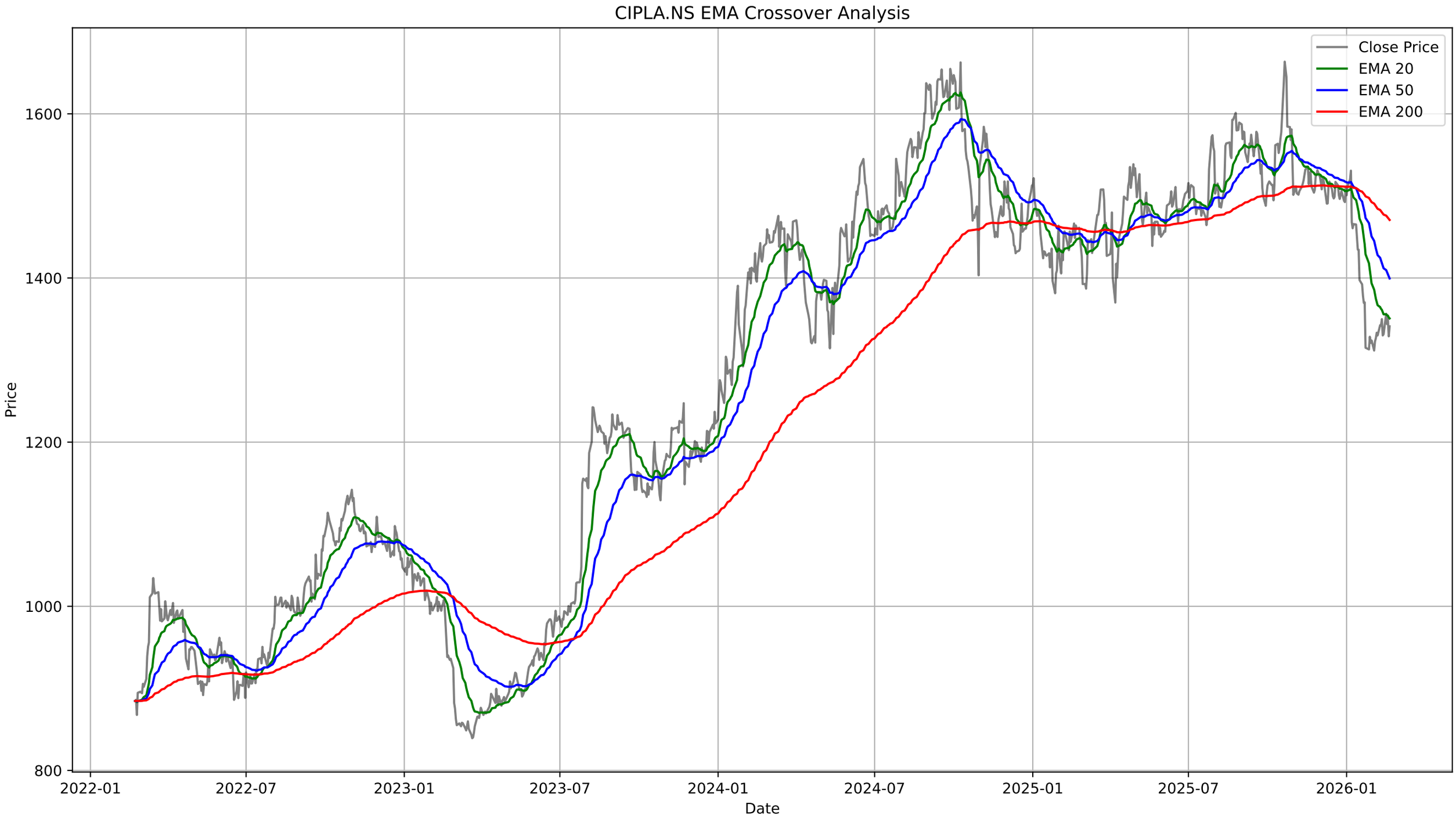


RS Composite Score Timeline



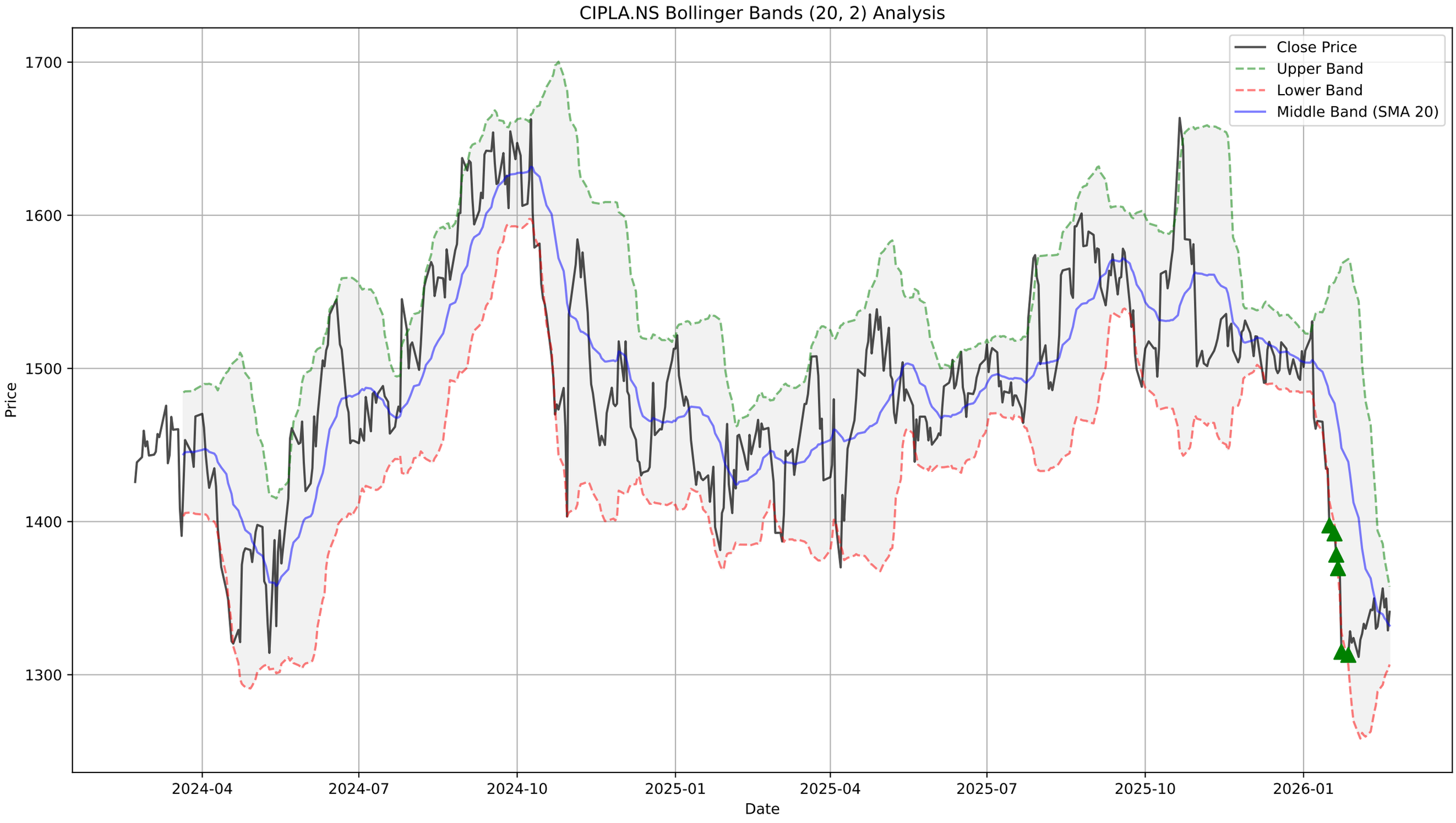
CIPLA.NS - EMA Crossover Summary

EMA 20:	1350.76
EMA 50:	1399.46
EMA 200:	1470.73
Trend Status:	**Strong Downtrend**


CIPLA.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Price
1600
1400
1200
1000
800
2022-01
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
Date

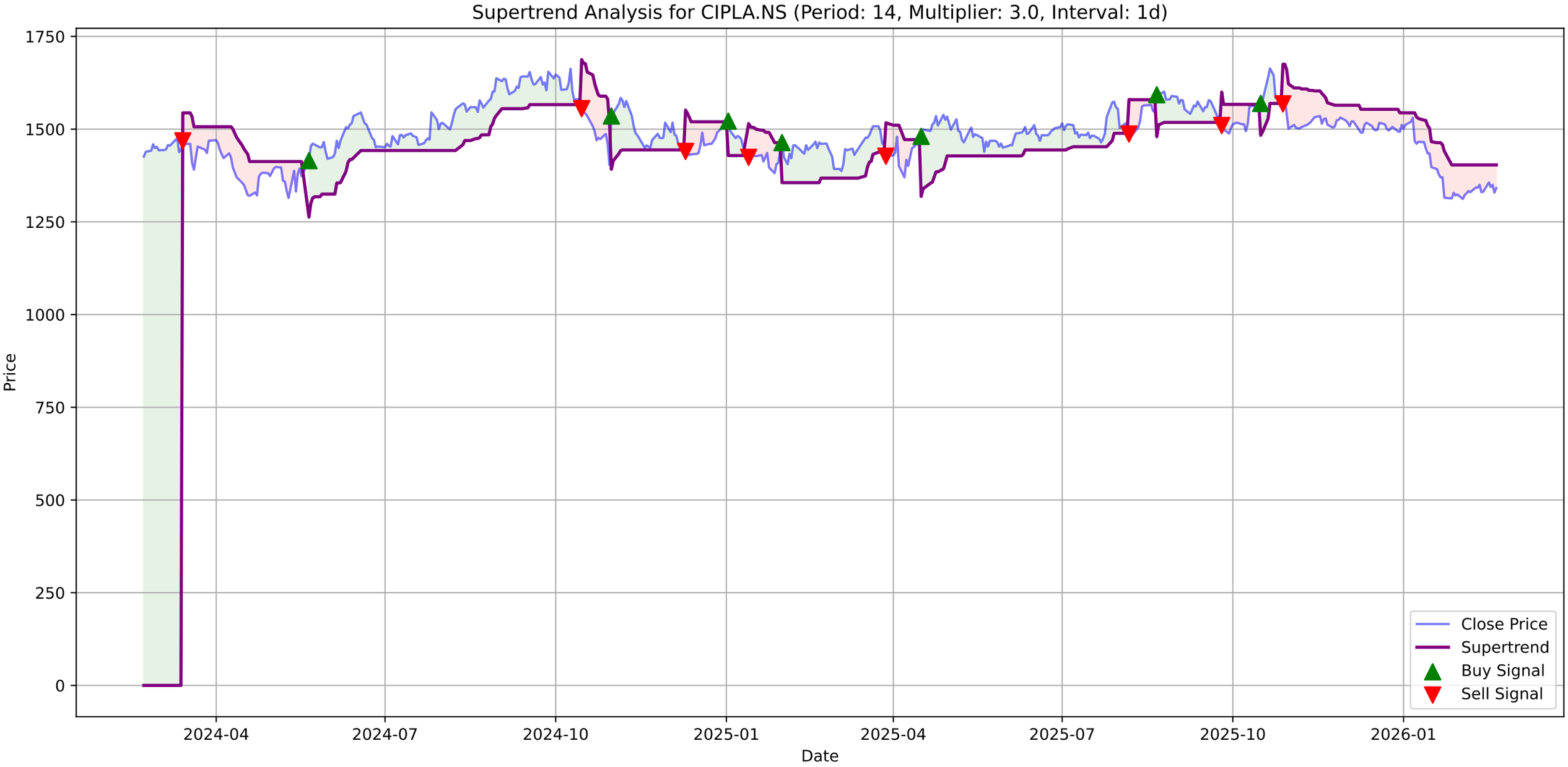
CIPLA.NS - Bollinger Bands Summary

Current Price:	1341.10
Upper Band:	1357.50
Middle Band (SMA 20):	1332.09
Lower Band:	1306.68
%B:	0.6773
Band Width:	0.0382
Status:	Upper Half
Signal:	None
Recent Signal 1:	**Buy Signal at 2026-01-21 00:00:00+05:30**
Recent Signal 2:	**Buy Signal at 2026-01-23 00:00:00+05:30**
Recent Signal 3:	**Buy Signal at 2026-01-27 00:00:00+05:30**


CIPLA.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
1700
1600
1500
1400
1300
Date
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

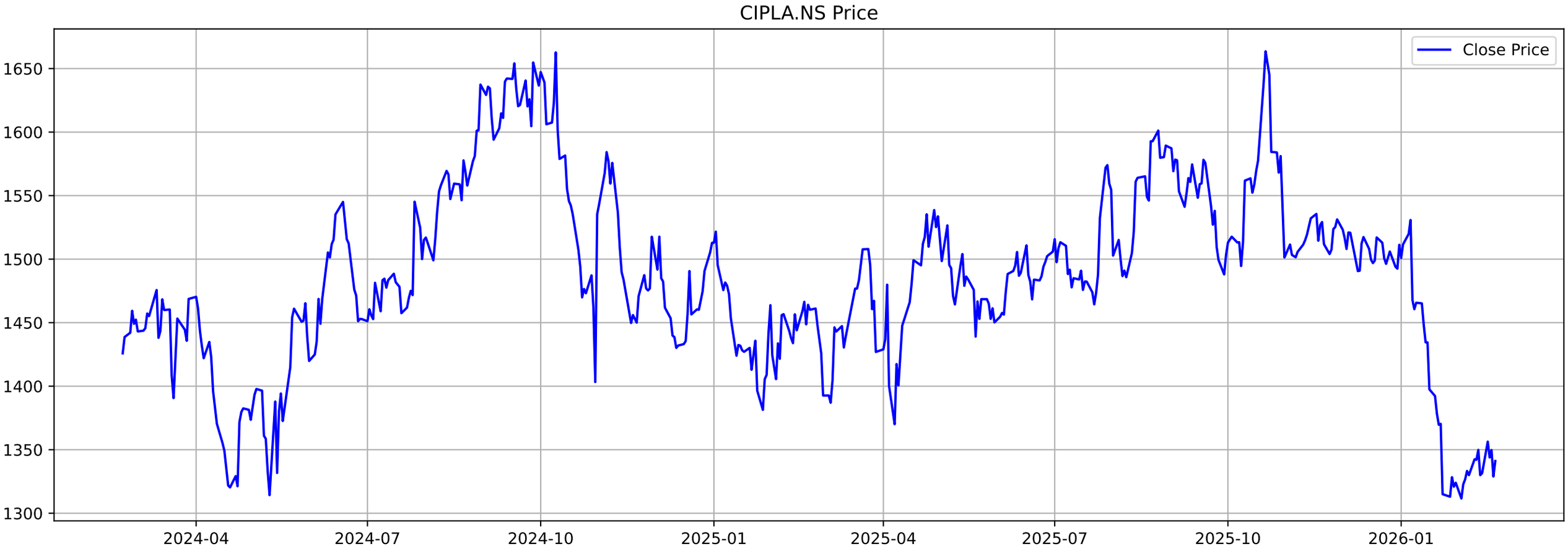
CIPLA.NS - Supertrend Summary

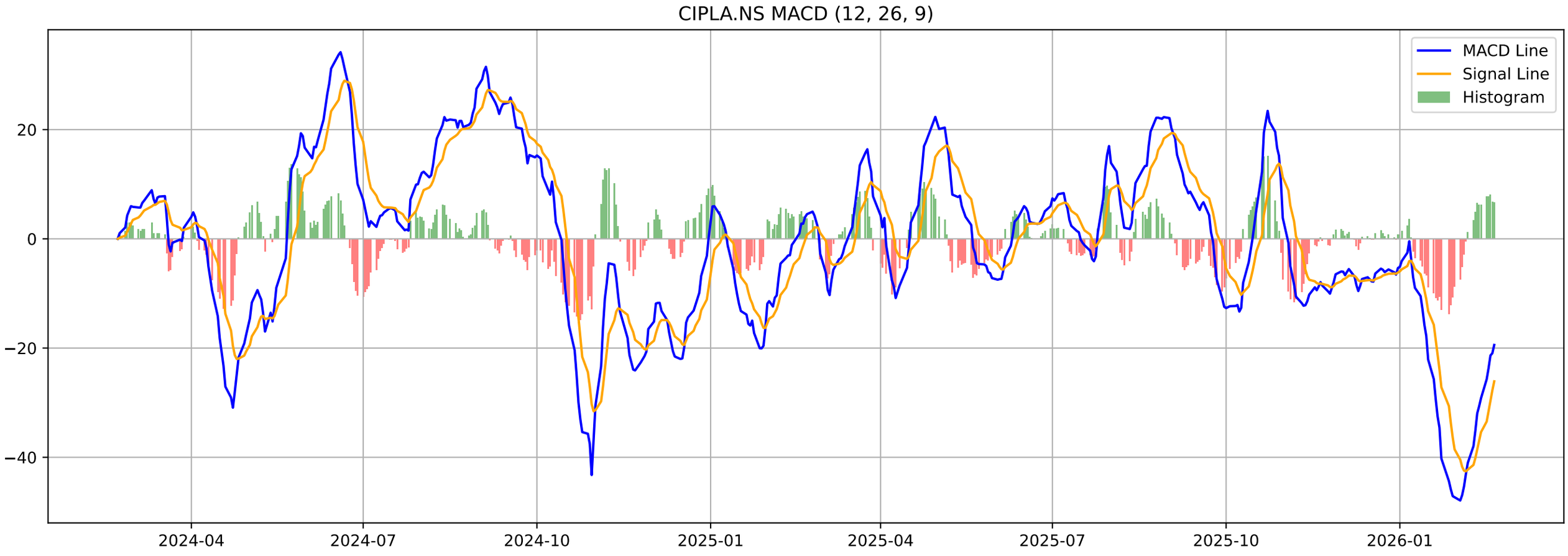
Status:	**DOWNTREND (Sell)**
Supertrend Value:	1403.44
Signal Identified On:	2025-10-28


Supertrend Analysis for CIPLA.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Price
Date
1750
1500
1250
1000
750
500
250
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Close Price
Supertrend
Buy Signal
Sell Signal

CIPLA.NS - MACD Summary

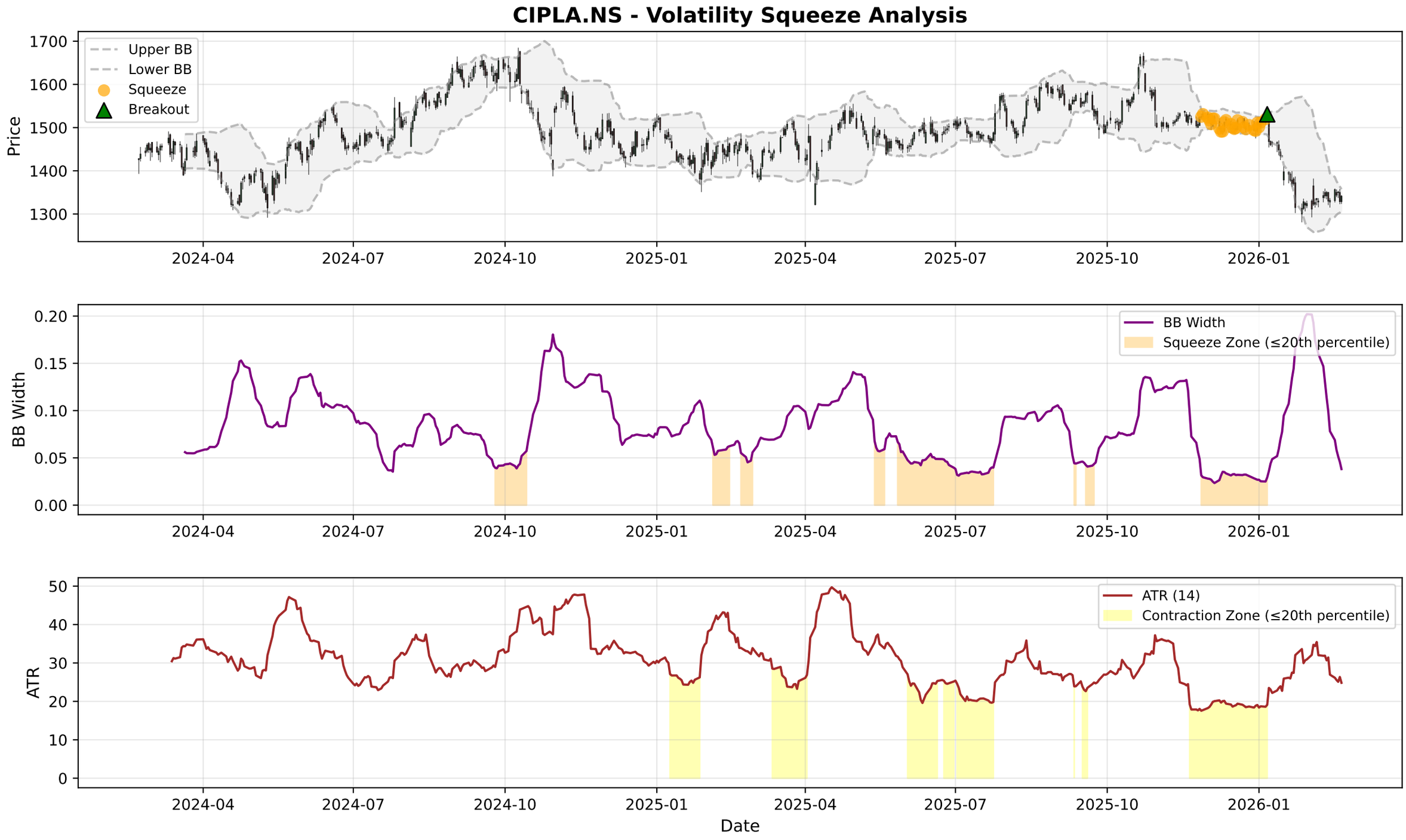
MACD Line:	-19.43
Signal Line:	-26.10
Histogram:	6.67
Trend:	**Bullish**
Momentum:	**Weakening**
Signal:	None


CIPLA.NS Price
Close Price
1650
1600
1550
1500
1450
1400
1350
1300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01


CIPLA.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
20
0
−20
−40
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

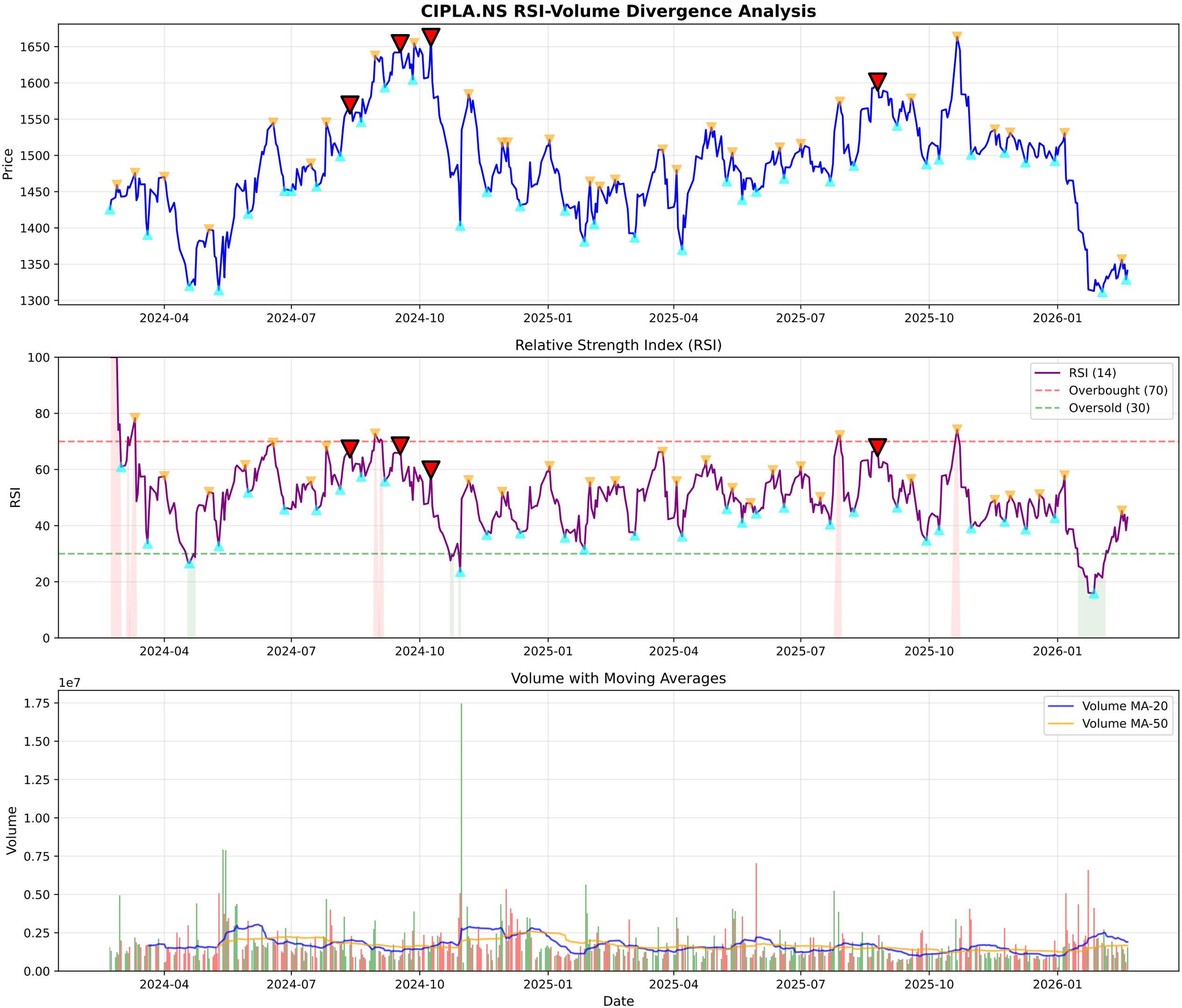
CIPLA.NS - Volatility Squeeze Summary

BB Width:	0.0382
ATR:	24.8357
Total Signals:	28
Signal 1:	BB Squeeze + ATR Contraction at 2025-12-31 00:00:00+05:30 (Pr
Signal 2:	BB Squeeze + ATR Contraction at 2026-01-01 00:00:00+05:30 (Pr
Signal 3:	BB Squeeze + ATR Contraction at 2026-01-02 00:00:00+05:30 (Pr
Signal 4:	BB Squeeze + ATR Contraction at 2026-01-05 00:00:00+05:30 (Pr
Signal 5:	**BB Squeeze + ATR Contraction (Bullish Breakout) at 2026-**


CIPLA.NS - Volatility Squeeze Analysis
Upper BB
Lower BB
Squeeze
Breakout
Price
1700
1600
1500
1400
1300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
BB Width
Squeeze Zone (≤20th percentile)
0.20
0.15
0.10
0.05
0.00
ATR (14)
Contraction Zone (≤20th percentile)
ATR
50
40
30
20
10
0
Date

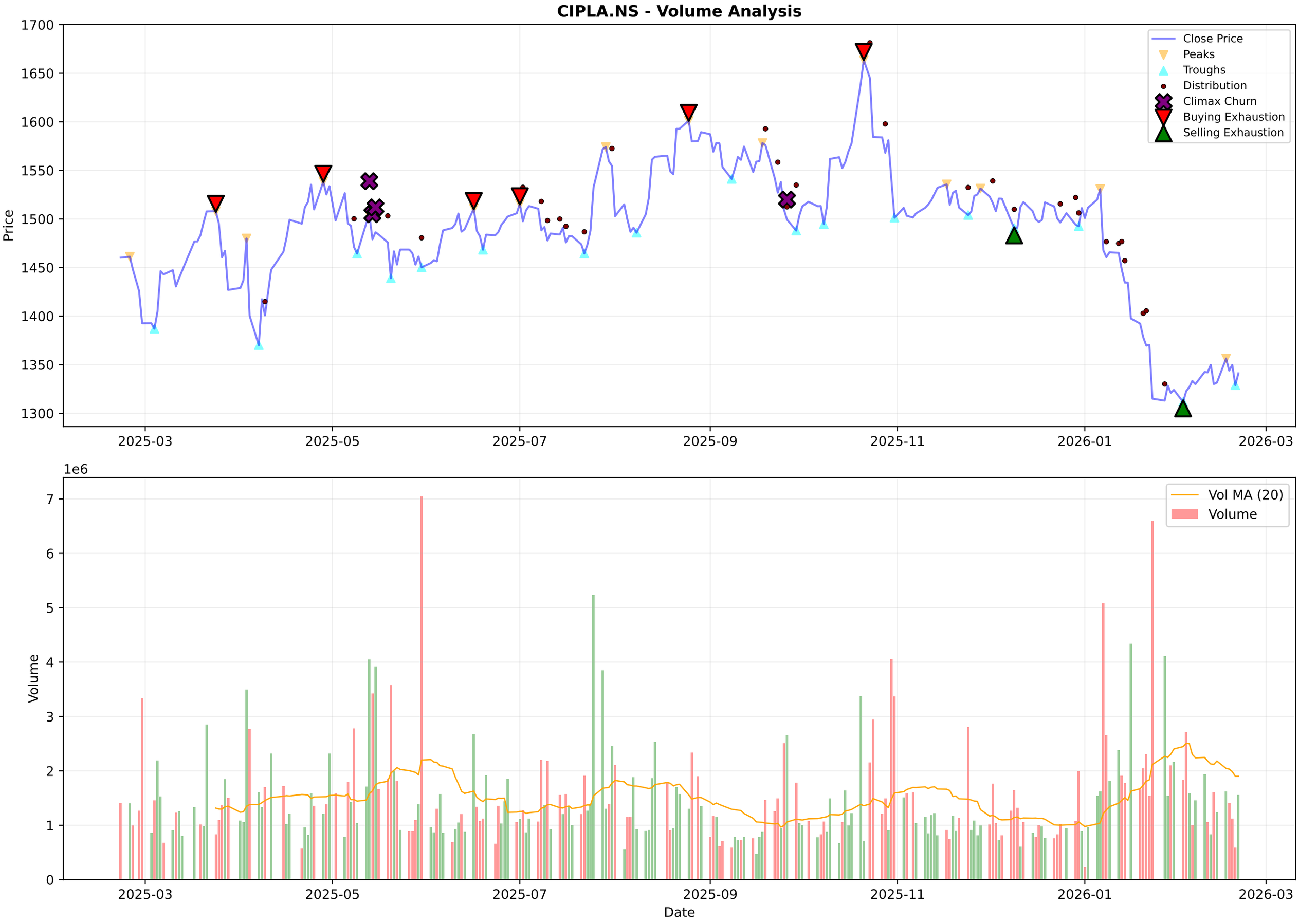
CIPLA.NS - RSI-Volume Summary

Current RSI:	42.92
Current Volume:	1551722
Volume MA 20:	1902251
Bullish Divergences:	0
Bearish Divergences:	4
Bearish Div 1:	Date: 2024-10-09 00:00:00+05:30, Price: 1662.74
Bearish Div 2:	Date: 2025-08-25 00:00:00+05:30, Price: 1601.20


CIPLA.NS RSI-Volume Divergence Analysis
Price
1650
1600
1550
1500
1450
1400
1350
1300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Relative Strength Index (RSI)
RSI
100
80
60
40
20
0
RSI (14)
Overbought (70)
Oversold (30)
Volume with Moving Averages
1e7
Volume
1.75
1.50
1.25
1.00
0.75
0.50
0.25
0.00
Volume MA-20
Volume MA-50
Date

CIPLA.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**43 Signals Detected**
:	
2026-01-14 [-]:	Distribution Day
2026-01-20 [-]:	Distribution Day
2026-01-21 [-]:	Distribution Day
2026-01-27 [-]:	Distribution Day
2026-02-02 [+]:	**Selling Exhaustion (Bullish Div)**


CIPLA.NS - Volume Analysis
Price
1700
1650
1600
1550
1500
1450
1400
1350
1300
2025-03
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
Close Price
Peaks
Troughs
Distribution
Climax Churn
Buying Exhaustion
Selling Exhaustion
1e6
Volume
7
6
5
4
3
2
1
0
Vol MA (20)
Volume
Date

CIPLA.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**No Control**
Recent Trend Score (10-day avg):	0.20
:	
Distribution:	
No Control:	121
Seller Control:	52
Buyer Control:	48
Buyer Strong Control:	4
Seller Strong Control:	3

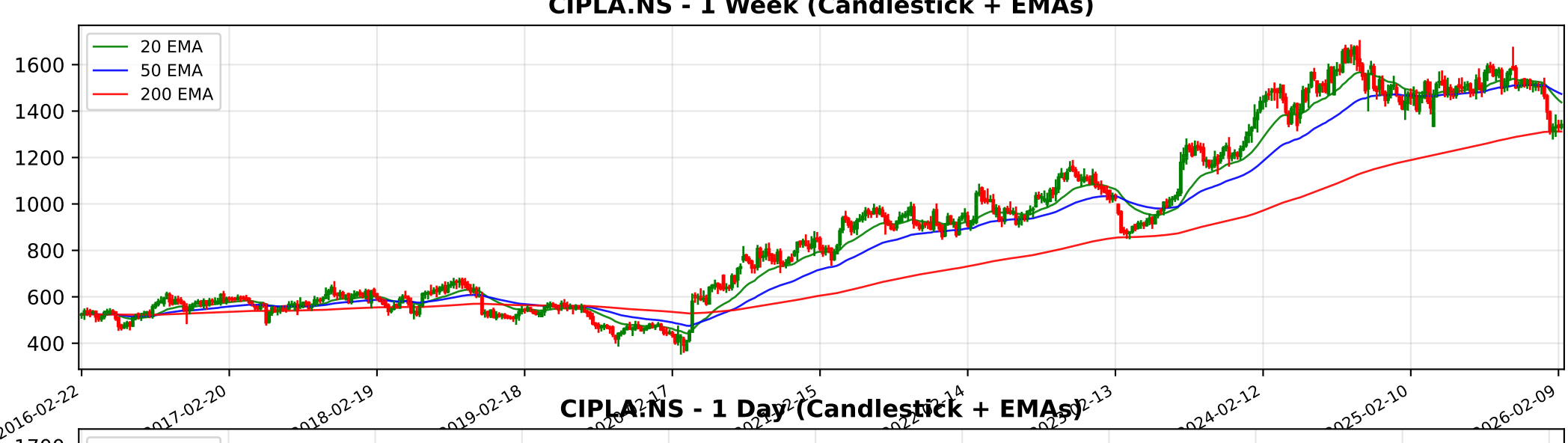
CIPLA.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
1650
1600
1550
1500
1450
1400
1350
1300
1e6
Volume
6
5
4
3
2
1
0
2025-06-05
2025-07-01
2025-07-25
2025-08-21
2025-09-17
2025-10-14
2025-11-11
2025-12-05
2026-01-01
2026-01-28
Date

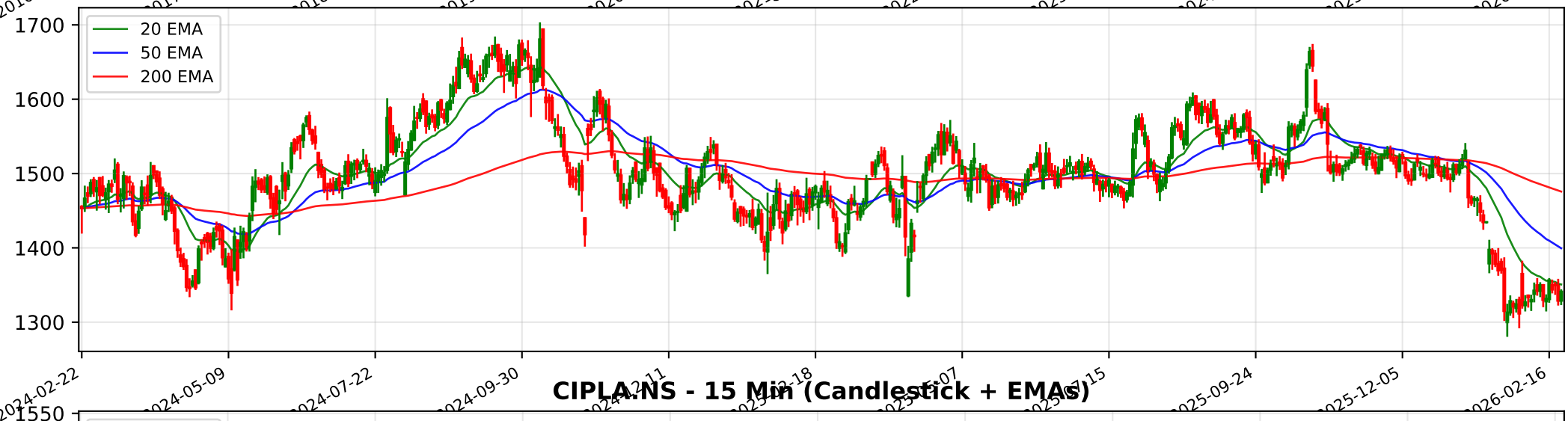
Multi-Timeframe Supertrend Analysis

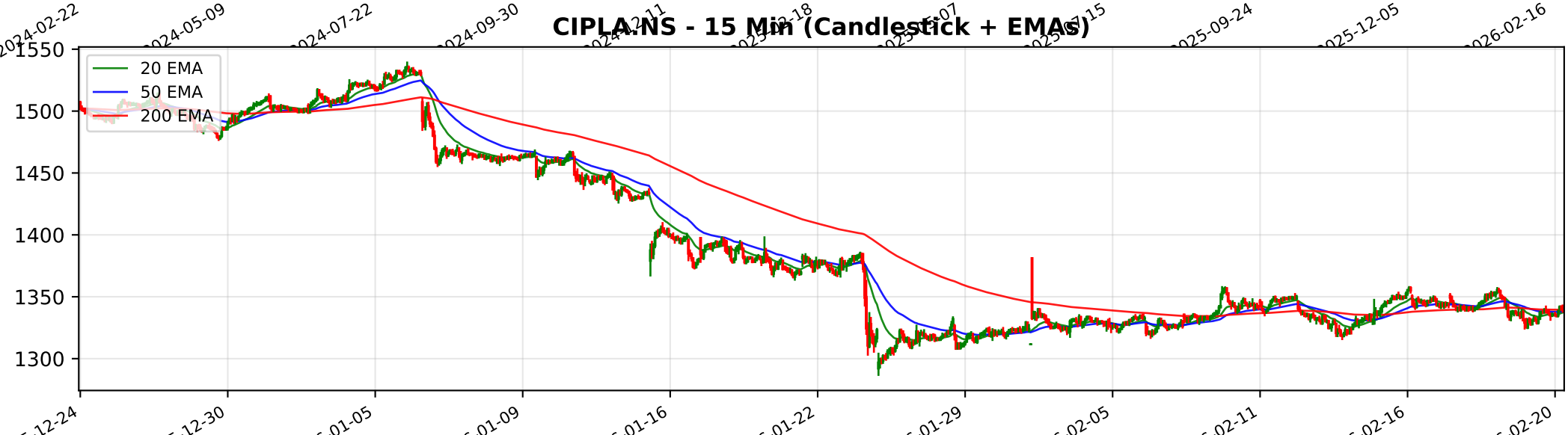
Timeframe	Status	Value	Last Price	Signal Date
1 Week	**DOWNTREND (Sell)**	1440.04	1341.1	2026-01-05
1 Day	**DOWNTREND (Sell)**	1403.44	1341.1	2025-10-28
15 Min	**DOWNTREND (Sell)**	1341.65	1341.1	2026-02-19

Multi-Timeframe MACD Analysis

Timeframe	Trend	Momentum	Signal
1 Week	**Bearish**	Weakening	No Signal
1 Day	**Bullish**	Weakening	No Signal
15 Min	**Bullish**	Strengthening	No Signal


CIPLA.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
1600
1400
1200
1000
800
600
400
2016-02-22
2017-02-20
2018-02-19
2019-02-18
2024-02-12
2025-02-10
2026-02-09


CIPLA.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
1700
1600
1500
1400
1300
2024-02-22
2024-05-09
2024-07-22
2024-09-30
2025-09-24
2025-12-05
2026-02-16


CIPLA.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
1550
1500
1450
1400
1350
1300
12-24
12-30
01-05
01-09
01-16
01-22
01-29
02-05
02-11
02-16
02-20

Trendlyne Snapshot - CIPLA_main

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MARKETS / SECTOR : PHARMACEUTICALS & BIOTECHNOLOGY / INDUSTRY : PHARMACEUTICALS / CIPLA LTD.

Cipla Ltd.

NSE: CIPLA | BSE: 500087

Cipla Live Share Price Today, Share Analysis and Chart

Mid-range Performer

In 4 Starfolio Baskets

ABOUT Cipla Limited, established in 1935, is a global pharmaceutical company producing over 1,500 products across 50 dosage forms, serving 74 markets. The company holds the third-largest position in the Indian pharmaceutical market and the second position ... Read More

1341.10 12.20 (0.92%)

↓ Near 52W Low of ₹1281.70

2.0M NSE+BSE Volume

NSE 20 Feb, 2026 3:31 PM (IST)

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Durability score	Valuation Score	Momentum Score	Analyst Price Target
55.0 / 100	36.5 / 100	38.8 / 100	1,456
Medium Financial Strength	Mid Valuation	Technically Neutral	1Yr Price target upside is 9%

Mid-range Performer These stocks have average quality, financial and technical momentum, indicating a mid range performer View Similar Embed DVM

FORECASTER

DVM
Key Metrics
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Forecaster
Financials
Technicals
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Deals
Documents
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Company Profile

16 8 2 5

SWOT Analysis

Check Before You Buy

VIEW FULL CHECKLIST

High rank 14 Positive • 9 Negative

60.9% Pass in checklist

0 45 55 100

PE Valuation Check

Right Now	1 Year Forward
Undervalued 27.2%	Undervalued 18.2%

INSIGHT Cipla is undervalued at both current PE and future earnings estimates.

Cipla Key Metrics

Preset Metrics: Preset Metrics

ROE Ann. %	Broker Average Target	Market Capitalization	Price to Book
16.9	1,627	108,331.5	
Below Industry Median	21.32% upside	High in industry	Above Industry Median

Trendlyne Snapshot - CIPLA_forecaster

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Cipla - CIPLA - stock price prediction, stock forecast, target price, analyst ratings from 37 analysts

Cipla has a share price target of Rs 1456, revenue growth forecast of 2.9%, and profit growth estimate of -20.8% for FY26, based on top 37 analyst calls.

Cipla FORECASTER - Analyst Estimates

FORECASTER DASHBOARD →

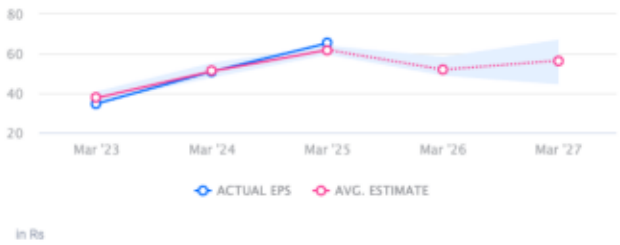
SHARE PRICE TARGET FORECAST

12 MONTH ESTIMATE

↑ HIT Cipla's share price target is above the current price, with an upside of 8.6%

EPS FORECAST

QUARTER ANNUAL



↓ MISS Cipla's EPS was lower than average estimate 2 times in past 3 years

CONSENSUS RECOMMENDATION

37 ANALYST Recommendations

HOLD

The consensus recommendation from 37 analysts for Cipla is HOLD